

The Time Value of Money

The time value of money is a basic financial concept based on the assumption that a dollar received today is worth more than a dollar received at some future date because a dollar received today can be invested and earn interest. If someone agreed to pay you \$1,000 ten years from now, or some lesser amount today, you could calculate the amount you'd need to receive today to equal the value of \$1,000 in ten years. You do this by discounting the amount using current interest rates. If the current interest rate is 6 percent, you might be willing to accept \$558 today rather than waiting ten years for your \$1,000 because you're confident that if you invest the \$558 at 6 percent it will grow to \$1,000 in ten years.



Opportunity costs are the benefits you lose by not choosing the best alternative for the use of your money. If you pay \$100 in credit card interest each month, you've lost not just \$100, but also the added value you could have received if you had invested that \$100.

There's more to the concept of the time value of money, but the most important thing for you to remember is that receiving \$1 today is better than receiving \$1 tomorrow, and the entire amount in a lump sum is better than installment payments (assuming there's no interest involved). If you're paid in installments, you lose the opportunity to invest the lump sum for a longer period of time.